Same 10% long-run output gain; Cobb-Douglas K-L bundle, AI substitute (e = 1.5); adjustment costs

Surprise permanent jump at t = 0

Half jump at t = 0, half S-curve (year 10)

S-curve centered on year 10, announced at t = 0

regular capital, disembodied
regular capital, embodied
AI, disembodied
AI, embodied

real interest rate (pct.)

output, log dev. from pre-shock path (pct.)

real wage, log dev. from pre-shock path (pct.)

labor share (pct.)

years